



Bank Alfalah

ALFA LEAD **ASSESSMENT** **CENTER**



Case Study

The Corridor That Counts

Key Terms — Quick Reference

Home remittance	Money sent by overseas Pakistanis to family in Pakistan through formal banking or exchange channels
Corridor	A specific country-to-country remittance route (e.g., Saudi Arabia → Pakistan)
Hawala / hundi	Informal money transfer networks outside the banking system — faster but unregulated
Raast	Pakistan's instant payment system (SBP), enabling free person-to-person transfers via mobile number
SWIFT GPI	A global standard that makes cross-border bank payments faster and fully trackable
Transactions bank	A bank that earns revenue primarily from processing payments, collections, and trade flows

The Transactional Potential

It is Friday evening in Riyadh. Farhan, a 34-year-old Pakistani construction supervisor earning SAR 5,500 a month, wants to send PKR 150,000 to his family in Mirpur Khas before Eid. Like many overseas Pakistanis, he compares options on speed, cost, certainty, and ease of access.

Farhan sends money home 8 to 10 times a year. His behavior creates transaction income, foreign exchange spread, deposit float, and a wider household banking opportunity in Pakistan.

Bank Alfalah has identified becoming a leading transactions bank as a strategic pillar. The opportunity is to make corridors such as Riyadh–Mirpur Khas more convenient, trusted, and relationship-led for both sender and receiver.

The Horizon

Pakistan received a record \$38.3 billion in workers' remittances in FY25, a 27% increase. FY26 is tracking higher, with \$26.5 billion received in the first eight months and full-year projections of approximately \$41 billion. Saudi Arabia is the largest corridor.

Digital payments have scaled rapidly. Raast has processed 1.9 billion transactions worth PKR 44.3 trillion since launch, and digital channels now account for 88% of retail payments. Many recipients still prefer cash, while informal channels remain familiar to customers who value speed and simplicity.

Bank Alfalah's Opportunity

Bank Alfalah has made strong progress in transactions banking. In 2025, the bank partnered with SWIFT to launch Pakistan's first SWIFT GPI Pre-validation service, enabling global institutions to verify Pakistani beneficiary details before sending money. This improves accuracy and strengthens confidence in formal remittance flows.

The bank has also launched Alfa Business, a merchant payments app with QR acceptance, digital bookkeeping, financing, and Raast integration for over 100,000 merchants. With 1,185 branches, 1,419 ATMs, and 114,000 touchpoints, Bank Alfalah has a strong physical and digital foundation. Its current 5% home remittance share provides room for growth as the bank targets 10% by 2028 and 40% annual digital payment growth.

The opportunity is to convert remittance recipients into active banking customers through bill payments, savings, card usage, merchant payments, and digital transfers.

The Customer's Dilemma

For senders like Farhan, preference is shaped by speed, cost, reliability, and ease of use. Formal banking channels offer regulatory safety and traceability, while exchange houses, fintech options, and informal networks compete on convenience and familiarity.

For receiving families in rural areas, the post-transfer experience matters equally. Many recipients are women managing household finances. They want quick access, clear confirmation, no surprise deductions, and easy ways to pay bills, school fees, medical expenses, and household vendors without repeated branch visits.

In areas such as Mirpur Khas, Rahim Yar Khan, and Mardan, Bank Alfalah can build on its reach to make the remittance journey more useful after the money arrives.

Crunch the Numbers

Bank Alfalah currently processes approximately \$1.9 billion in home remittances annually, representing roughly 5% of Pakistan's total inflows. The strategic target is to process \$4.1 billion in remittances during calendar year 2027, which would represent approximately 10% of the projected \$41 billion market. The following data is available:

- Current quarterly remittance inflow processed by Bank Alfalah: \$475 million (Q1 2026 baseline).
- The bank's remittance volume has been growing at 6% per quarter organically.
- A planned partnership with two major Gulf-based exchange houses is expected to add a flat \$75 million per quarter starting Q3 2026.
- Average revenue per remittance transaction (fees + FX spread): \$4.20.

- Average remittance size: \$300.

Assumptions for Calculations

1. Organic growth of 6% compounds quarterly on the previous quarter's base.
2. The exchange house partnership begins in Q3 2026 and adds a flat \$75 million per quarter on top of organic volume.
3. Total market size remains at \$41 billion annually (\$10.25 billion per quarter) for the projection period.
4. Ignore seasonal fluctuations.
5. Revenue per transaction remains constant at \$4.20 throughout.

Based on the above:

1. Project Bank Alfalah's quarterly remittance volume from Q1 2026 through Q4 2027. Add up the total volume processed during calendar year 2027 (Q1–Q4 2027). Will it reach the \$4.1 billion target?
2. Based on the total 2027 volume, how many remittance transactions will the bank process that year, and what is the projected fee revenue?

Your Requirement

Your team must design a **12-month strategy** to accelerate Bank Alfalah's position as a leading transactions bank, using remittances as the anchor product. Explain how to earn Farhan's continued preference in Riyadh and convert his family in Mirpur Khas into active Bank Alfalah customers.

Your strategy should cover:

- How can Bank Alfalah strengthen preference for formal remittance channels?
- What first-year actions would you prioritize, and why?
- How would you turn a one-time remittance into an ongoing banking relationship?
- What could go wrong, and how would you protect against it?
- How would you measure whether the strategy is working?

Present your strategy as a team. Be specific, realistic, and ready to explain your choices.

Note: Certain facts and figures in this case study have been fictionalized for contextual purposes and may differ from actual data.